Accounting Conventions

Materiality

An item is material, if its inclusion or omission would influence or change the judgment of a reasonable person.

Conservatism

Consider all probable losses but not taking credit for favorable event, unless it takes place.

Consistency

Frequent changes in the accounting methods would lead to misleading profits calculated from the accounting records.

Disclosure

Any information that might be relevant to an investor or creditor should be disclosed, either in body of the financial statements or in the notes attached thereto.

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